MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) Regular EXAMINATION October 2025

Third SEMESTER

Discipline Specific Core Course (DSC) –

MG3DSCECO202 - BASICS OF FINTECH ENTREPRENEURSHIP

SCHEME OF VALUATION

Duration: 2 Hours Maximum Marks: 70

Part A: Multiple Choice Question. Answer all questions. Each question carries 1 marks

1. c) Better credit history and repayment behaviour

2. d) All of the above

3. a) Genesis block

4. c) RBI

5. b) Automating loan application processing

6. b) Regulatory and compliance issues in foreign countries

7. a) Near Field Communication

8. c) RBI Innovation Hub

9. a) RBI

10. b) Converting asset ownership into digital tokens for improved transferability and transparency

Part B: Short Answer. Answer any 10 questions Each question carries 3 marks

11. SROs (Self-Regulatory Organizations) complement government regulation by setting industry standards, promoting ethical practices, and monitoring compliance. They provide flexibility and faster decision-making in fintech regulation. [U] / [CO2]

12. CBDC (Central Bank Digital Currency) is a digital form of central bank money. Features include legal tender status, backed by the central bank, traceability, offline functionality, and programmable use. It enhances efficiency and reduces dependency on cash. [A] / [CO4]

13. Global regulation of cryptocurrencies varies. The U.S. treats them as securities, Japan recognizes them under payment law, and China has banned them. The EU and India are developing frameworks for transparency, AML, and investor protection. [E] / [CO4]

14. **Value liberally.** UPI Autopay allows recurring payments automatically through user consent. It improves convenience for bills, EMIs, and subscriptions, promoting seamless digital finance adoption in India. [An] / [CO2]

15. UPI supports fintech growth by enabling real-time, interoperable payments. It connects banks and apps, lowers transaction costs, and increases financial inclusion through digital transactions. [U] / [CO1]

16. Loan apps may cause data privacy risks, over-borrowing, and harassment during recovery. Unregulated apps can lead to consumer exploitation and financial instability. [A] / [CO4]

17. NPCI drives innovation by developing systems like UPI, RuPay, FASTag, and Bharat BillPay. It standardizes digital payments and ensures interoperability across banks and fintech platforms. [U] / [CO2]

18. Neobanks are digital-only banks offering online financial services through apps. Unlike traditional banks, they lack physical branches and often partner with licensed banks for operations. [A] / [CO4]

19. FTX collapsed in 2022 due to liquidity crisis, mismanagement, and lack of regulation. It led to a market crash and reduced investor confidence in the crypto industry globally. [An] / [CO4]

20. Cryptocurrency as a medium of exchange facilitates payments, while as an investment asset, it offers speculative gains. The former emphasizes utility, the latter focuses on profit and volatility. [U] / [CO4]

21. Digital lending uses online platforms to provide instant loans through e-KYC and AI-based credit scoring, ensuring faster access to credit and greater inclusion. [U] / [CO1]

22. Blockchain enhances banking security through decentralized ledgers, cryptographic encryption, and immutable records, preventing fraud and improving transparency. [U] / [CO4]

23. An ideal technological toolkit for fintech includes AI, APIs, blockchain, and cloud computing, ensuring scalability, automation, and data security. [U] / [CO4]

24. Video KYC reduces cost and time for banks by enabling remote identity verification. It minimizes paperwork and enhances customer convenience while ensuring compliance. [E] / [CO2]

25. A Fintech Repository is a centralized data platform that tracks fintech developments, startups, and innovations, helping regulators and policymakers support sector growth. [U] / [CO2]

Part C: Short Essay. Answer any 5 questions. Each question carries 6 marks

26. Fintech disruption challenges traditional regulation by introducing cross-sector innovations that don’t fit neatly into existing laws. Regulators must address risks related to data protection, cybersecurity, and consumer rights. Balancing innovation with oversight requires adaptive policies like

regulatory sandboxes and collaboration with SROs. These frameworks encourage experimentation while maintaining financial stability. [E] / [CO3]

27. Cryptocurrency is a decentralized digital asset using blockchain for peer-to-peer transactions. It removes intermediaries and enables global, borderless payments. Risks include high volatility, lack of regulation, hacking, and misuse for illegal activities. Policymakers worldwide are working to ensure transparency and investor protection. [U] / [CO4]

28. Crypto exchanges facilitate buying and selling of digital currencies. They provide liquidity, pricing, and storage for crypto assets. Challenges include security breaches, lack of standard regulation, and compliance with KYC/AML norms. Their failure can disrupt the entire crypto ecosystem, as seen in FTX. [An] / [CO4]

29. Digital finance offers faster, cheaper, and more inclusive financial services compared to traditional systems. It eliminates geographical barriers and reduces transaction time. Technologies like UPI, mobile banking, and AI-based tools make access broader and cost-effective, supporting financial inclusion and economic growth. [U] / [CO1]

30. **Value liberally**. RBI regulates banks, NBFCs, and payments, ensuring monetary stability, while IRDAI supervises insurance companies and consumer protection in that domain. RBI focuses on financial system integrity and innovation (e.g., sandboxes), whereas IRDAI promotes InsurTech development with experimental frameworks for digital insurance. [An] / [CO2]

31. Customer interfaces like AI chatbots, robo-advisors, and mobile dashboards enhance user experience by providing 24/7 support and personalization. These intuitive interfaces improve trust, engagement, and convenience, helping fintechs attract and retain a tech-savvy customer base. [U] / [CO1]

32. Demonetisation in 2016 pushed citizens toward digital payments by reducing cash circulation and encouraging use of digital wallets and UPI. It accelerated fintech growth and financial literacy, paving the way for India's transition toward a cash-light economy. [U] / [CO2]

33. RBI's KYC guidelines ensure proper customer identification, reducing fraud and money laundering risks. They form the foundation of secure financial transactions. Digital KYC and e-KYC have simplified compliance for fintechs, promoting faster onboarding and trust among users. [U] / [CO1]

34. **Value liberally**. Empathy-driven design focuses on understanding customer needs, emotions, and challenges to build effective fintech solutions. It improves usability, satisfaction, and loyalty, making fintech products more inclusive and user-friendly. [U] / [CO4]

35. UPI is unique for its interoperability, real-time transfer, and zero-cost model. It connects multiple banks and apps seamlessly. Unlike card-based or wallet systems, UPI ensures open access, scalability, and security, making it a global benchmark in digital payments. [An] / [CO2]